

Report to Investors in The Children's Investment Fund

Period: 1st April 2004 to 30th June 2004

Dear Investor:

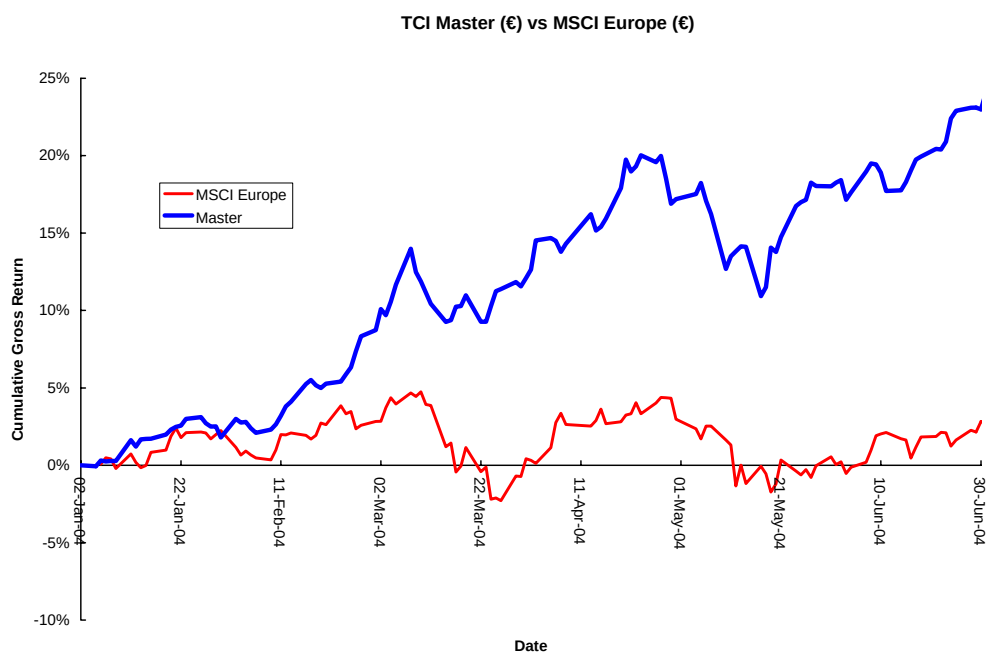
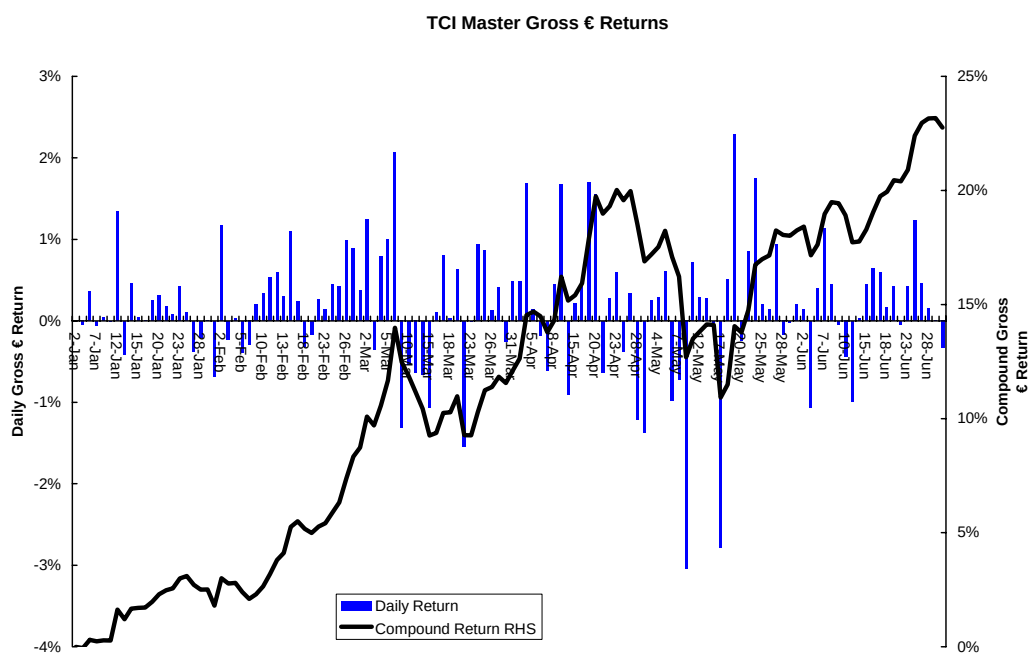
Returns

Returns to investors for this period, net of (a) management and accrued incentive fees and (b) monthly and annual accrued charitable donations from the fund, are shown below:

Period	Master Fund Assets €m	Class A (3yr) \$	Class B (5yr) \$	MSCI Europe (\$)	SP500 (\$)	MSCI World (\$)
January	374.8	+1.36%	+1.41%	+1.11%	+1.73%	+1.54%
February	531.7	+5.08%	+5.26%	+2.78%	+1.22%	+1.55%
March	553.6	+2.75%	+2.78%	-3.50%	-1.64%	-0.89%
Q1		+9.44%	+9.71%	+0.29%	+1.28%	+2.20%
April	734.6	+3.70%	+3.77%	-1.23%	-1.68%	-2.22%
May	872.1	+0.40%	+0.43%	+1.11%	+1.21%	+0.67%
June	1,081.2	+2.82%	+2.90%	+1.09%	+1.80%	+1.91%
Q2		+7.05%	+7.23%	+0.95%	+1.30%	+0.32%
YTD		+17.15%	+17.64%	+1.24%	+2.60%	+2.53%

Source: Citco Fund Services for Jan -May, TCI in-house estimate for June; Bloomberg LP

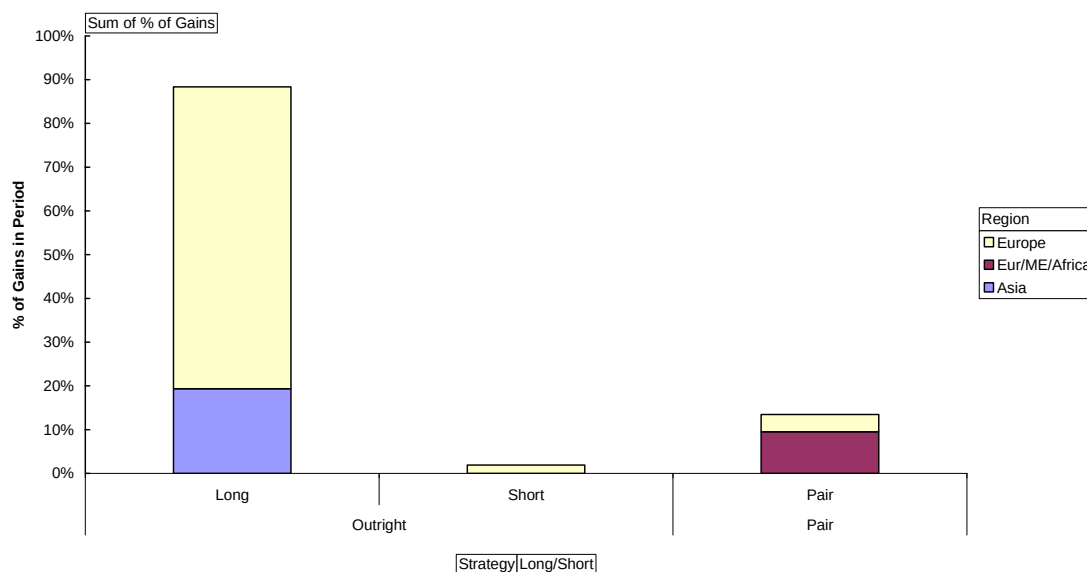
Daily returns during the quarter are set out in the graph below. During May the Fund suffered a large drawdown which was recovered by the end of the month. The primary reason for this was significant volatility of LG Corp, partly due to a substantial correction in the South Korean stock market. Year to date the Kospi Index is now down nearly 5% whereas our Korean positions have significantly appreciated.



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Performance Attribution

TCI Master Fund Q2 2004 Attribution of Returns



Consistent with the concentrated portfolio, returns were mainly due to our core large positions. Outright positions were 90% of gains in the period, pairs were 13% of gains and the balance is attributed to currency hedging losses. The largest contributor was LG Corp (26% of gains in the period), followed by Autostrade Spa (21% of gains). Our 3 other toll road positions each contributed 8% of the gains, as did Altadis. Our largest loss was on Euronext (-7% of gains).

Asian names were 19% of gains in the period and European names (including Gazprom) accounted for 85% of the gains.

Exposures

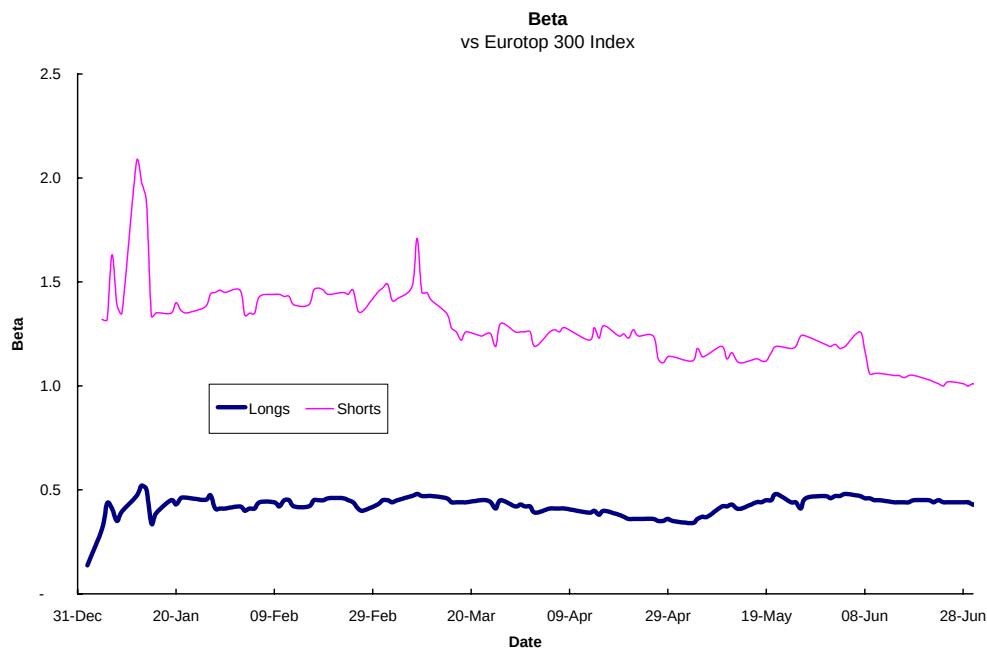
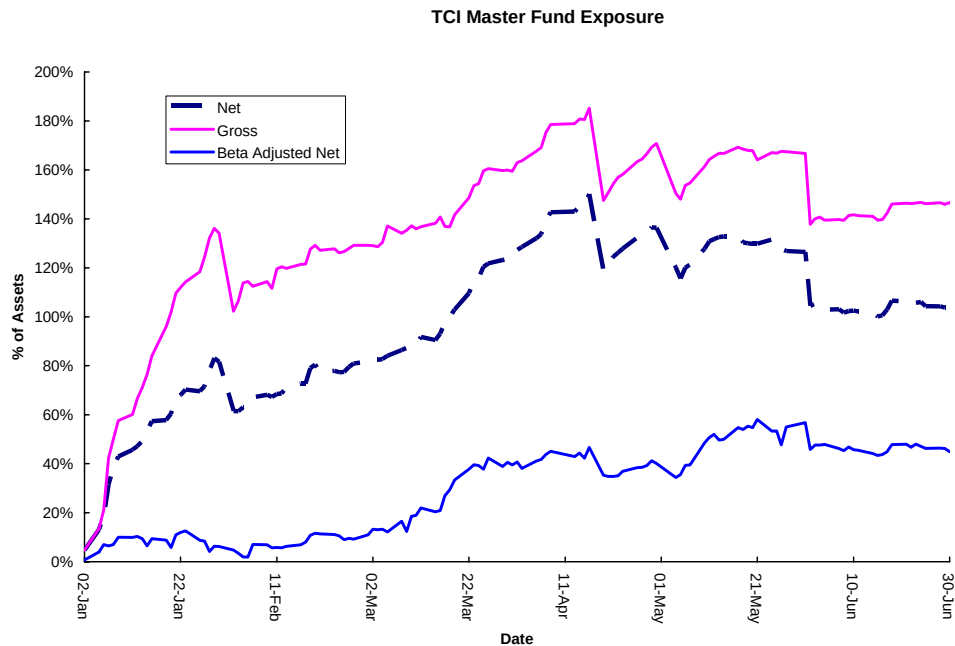
During the quarter we stayed fully invested but reduced leverage through new capital.

Period	Outright Longs	Outright Shorts	Long side of Share Class Arbitrage	Short side of Share Class Arbitrage
End January	90.0%	-7.0%	19.8%	19.7%
End February	87.1%	-4.2%	21.0%	20.7%
End March	122.2%	-0.2%	18.4%	17.4%
End April	115.0%	-0.6%	13.0%	13.1%
End May	127.0%	-3.3%	15.2%	15.4%
End June	100.7%	-7.7%	20.7%	13.6%

% of Master Fund Net Assets

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Our net beta adjusted exposure has stayed low at some 40% of NAV due to the low beta of our longs despite the very limited short exposure. This is illustrated by the graphs below.



In terms of geographic and sector exposure, our exposures are dominated by toll roads (30% of NAV, mainly in Italy), tobacco (20% of NAV, mainly Europe), stock and derivative exchanges (12% of NAV) and banks (net 11% of NAV, all in Italy). Our geographic exposures have remained stable at Europe 70% of NAV and Korea 20% of NAV.

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Gazprom

It is relevant to highlight the risks and rewards of a somewhat unusual investment that the Fund has taken in Gazprom. Gazprom, based in Russia, is the world's largest energy company by reserves and production. It is also the largest company in the Russian stock market with approximately a \$50 bn market capitalization. It has five times the proven oil and gas reserves of Exxon Mobil but Exxon Mobil has an enterprise value of over five times that of Gazprom. It also owns and manages 150,000 km of gas pipeline infrastructure and has a monopoly on gas exports. The company is controlled by the Russian government.

A government imposed ring-fence currently forbids foreign direct ownership of the local shares. The ADR shares which foreigners can buy currently trade with high liquidity at a 40% premium to the local shares. It is widely expected and promised by Putin and the company CEO that this ring fence will shortly come down in order to facilitate better access of the company to the capital markets.

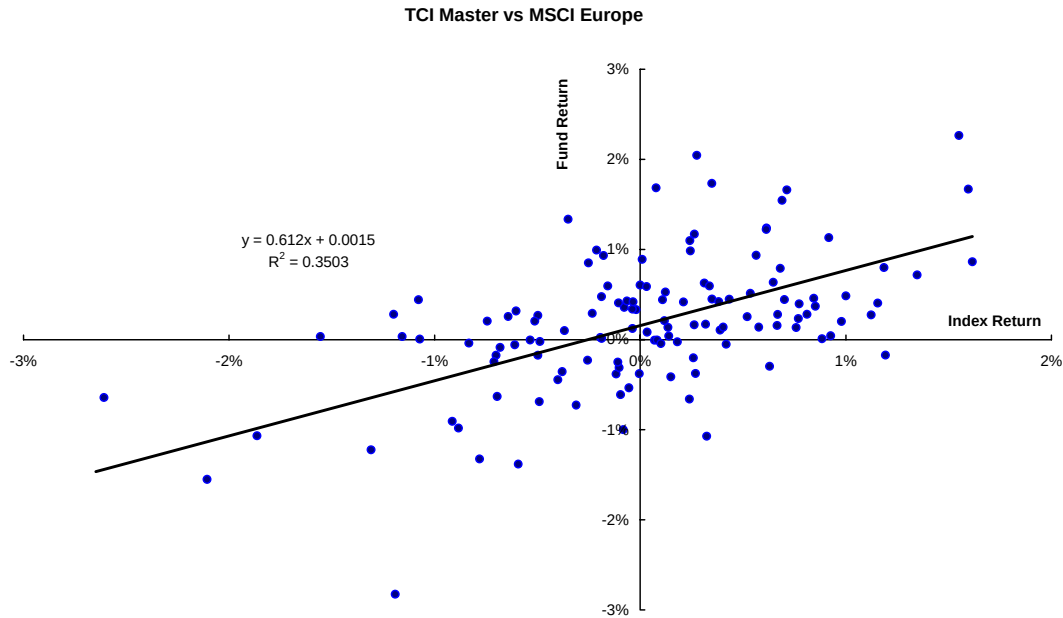
TCI has set up a Russian company which has purchased local Gazprom shares. We control this company despite 49% ultimate share ownership due to a cross shareholding with another Russian company of which TCI controls 49%. This structure is illustrated on page 15 of the attached presentation of this investment. This is the same structure used by many foreign direct investors into Gazprom for years and also by Ruhrgas (owned by the German utility Eon) which owns some 5% of the company. We have been advised by our Russian legal counsel that the structure is legal under Russian law. One of the major users of these structures is the Russian investment bank UFG (40% owned by Deutsche Bank), whose head is a longstanding main board Gazprom director.

Our current position is long 7.5% of NAV local shares and short 3.3% of ADR's. We originally set up the arbitrage at more than a 60% premium. Our investment thesis is that Gazprom trades at very large discount relative to global majors and also Lukoil, the benchmark Russian oil major. On EV/DACF with a normalized domestic gas price, it trades at half the multiples of both Lukoil and the majors. With a \$30 oil price and normalized domestic gas price (which will not fully come through for 5 years) we estimate that the company would trade with up to a 20% free cash flow/EV yield. Whilst one can debate the appropriate political risk discount, it is clear to us that if the ring fence comes down the local shares will appreciate due to foreign buying.

The purpose of this note and the attached presentation is to make you aware that we have entered into a high risk investment where there is the potential for complete capital loss if the Russian government decides to rule these structures illegal or we suffer fraud. By owning our own structure we have no credit risk on brokers or banks on our shares. We have also taken significant precautions to avoid protect our shares against fraud. We believe that the position overall can make a 30-50% net of tax return to investors which makes it attractive to us despite the high risks.

Market Correlation

The fund does have market correlation, as exhibited by the scatter graph below of the Fund's daily gross returns versus the market. The slope of the line illustrates the Beta of the Fund and the intercept its Alpha. Clearly, it is a very limited set of data points to draw any statistical conclusions.

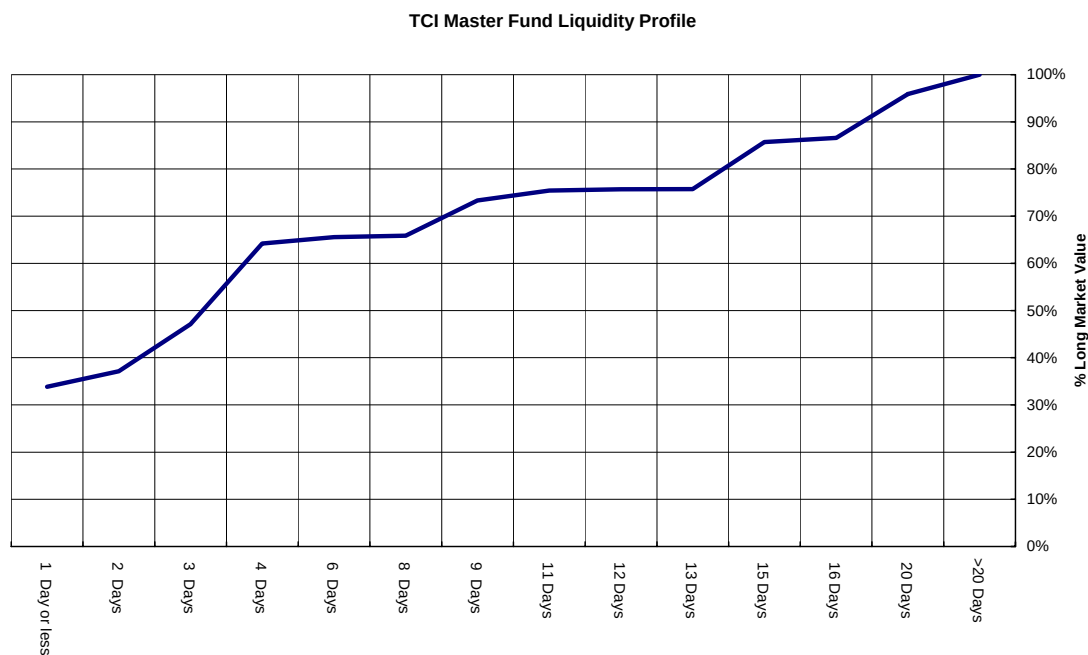


Foreign Currency Exposure

As we said last quarter, given that the Master fund has its base currency in which it operates in euros. We always hedge euro exposure for dollar feeder fund investors. For other currencies we have had some unhedged currency exposures. At the start of June, we did decide to hedge our Korean Won exposure, with the exception of the LG Corp position (9% of NAV) whose own export earnings act as a natural self hedge.

Unhedged currency positions at quarter end totalled approximately 15% of NAV (Korea (9% of NAV) Russia (net 4.3%), India (1% of NAV), Taiwan (0.2% of NAV) and Thailand (+1% of NAV)). We estimate that the impact on the portfolio of being unhedged in the quarter was negligible.

Liquidity Analysis



The fund does not have high liquidity due to the deliberate policy of (a) concentrated positions and (b) focus on mid cap stocks. 34% of the longs represent one day's volume or less and 64% of the longs represent less than 4 days volume. 27% percent of the longs represent more than 10 days volume. Like last quarter, the statistics include large share class arbitrage positions which represent in weighted aggregate three quarters of a day's volume on the short side and about 2 days volume on the long side which we believe could be closed with limited impact.

There are no debt or private equity positions currently in the fund. We expect to take significant liquidity discounts on the portfolio at the end of the year when marking the portfolio for incentive fee purposes. To help us in this task we have formed a LP committee.

LP Committee

We are pleased that Kathryn Crecelius of MIT, Alice Handy of Investure and Steve Berger of Adamas have agreed to serve on a newly formed LP Committee. Our expectation is that this committee will convene periodically to allow us to better understand the needs and requirements of our investor base and ensure that communication flows between manager and investors are efficient and that conflicts of interest are properly dealt with. We are determined to have good corporate governance.

Staffing

Stuart Powers joins us as an analyst in July to cover mid and small cap European stocks and toll roads. He was previously at Cazenove where he was in charge of research for Spanish and Italian small caps and European toll roads.

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Joe Cusworth will join our operations group next week from Deutsche Asset Management where he worked in fixed income derivatives and middle office.

Assets Under Management

The Fund increased assets significantly during the quarter to take advantage of a range of opportunities that we saw and reduce the leverage which we had taken on to make investments. The Fund will now remain closed until further notice to new investors with the exception of management investors and \$7 mm coming in at the beginning of August from an investor who committed at the earlier fund raising but was delayed in funding.

A key question for all funds is what is the appropriate amount of capital to manage? We recognise that size diminishes returns after a certain point and believe that capital managed should be primarily a function of opportunity set and capability to diligently evaluate that opportunity set. In many funds, a conflict exists because the fund manager does not have adequate personal capital invested to care sufficiently about diminished returns. In our fund this is not the case, with management and TCI. Moreover, if we have less opportunity in the future so that we cannot employ our capital profitably we will certainly return it to you.

TCI Focus Fund

One of the solutions that we have come up with to enable us to keep the Fund size manageable, whilst giving us flexibility to temporarily deploy extra capital if a great idea with liquidity comes up, is the idea of a drawdown fund which has capital commitments but no drawn capital. It would also return capital once the idea or ideas were realised. We have named this fund the TCI Focus Fund. An additional advantage of the fund (which is not expected to be the norm) will be if we are in an activist situation which requires a large capital commitment to achieve our investment objectives.

Once the TCI Master Fund already has a full position in a great idea (which could well be much less than the 20% of NAV single position limit which our prospectus allows due to subjective risk limits) we could draw down on capital commitments in this Focus Fund to invest in the idea. If there are no such great ideas the Focus Fund would remain dormant. We would expect zero to three ideas a year that might fit these parameters.

We have tried to design it so that it does not disadvantage the Master Fund in any way and have had the terms reviewed by our LP committee for assessment of conflicts of interest. We are seeking 5-10 investors who make a minimum commitment of \$20m to the Focus Fund, to be drawn in maximum increments of \$10m for a single idea (unless specific written approval waiving this limit is given). There is no assurance that we will actually ever use the Fund since by its nature it is opportunistic. If there is insufficient interest we will not launch this fund. A term sheet for this fund is contained in Appendix 1 and a prospectus is attached to this email.

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The Children's Investment Fund Foundation

An interim report for the Foundation to which the Fund contributes is detailed in the Appendix to this letter.

Parvus

The management company of the Fund has taken a 20% equity investment in a European small cap manager called Parvus that is starting up in October run by Edoardo Mercadante formerly of Merrill Lynch Investment Management. It may help us in providing idea flow in this area on an ad hoc basis. TCI Fund will not be investing in the Parvus Fund.

Summary

We feel comfortable in the values of our investments and the strength of their underlying businesses. We do feel the market risk in the US stock market is high in a rising interest rate environment and so we maintain a cautious stance and are increasing our search for shorts. Feel free to contact us with any questions or comments that you may have.

Christopher Hohn
Managing Partner
The Children's Investment Fund Management (UK) LLP
July 2004

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Appendices

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Appendix 1

Top Positions at Quarter End

Stock	% Master Fund Assets	Country	Market Cap \$MM	% of Q2 Trading Gains
Autostrade	16.6%	Italy	11,533	21%
Banca Intesa Risp	11.6%	Italy	25,231	31%
Banca Intesa Ordinary	-8.9%	Italy	25,231	-28%
Altadis	13.9%	Spain	9,127	8%
Euronext	10.9%	France	3,329	-7%
LG Corp	9.2%	Korea	3,907	26%
Gazprom	7.7%	Russia	48,691	4%
Auto Routes du Sud de la France	6.8%	France	9,280	8%
Unicredito	6.1%	Italy	30,800	6%
Tui	-4.6%	Germany	3,212	1%
KT&G	3.8%	Korea	4,202	0%
Vinci	3.5%	France	8,687	3%
Total	76.6%		Total	73.0%

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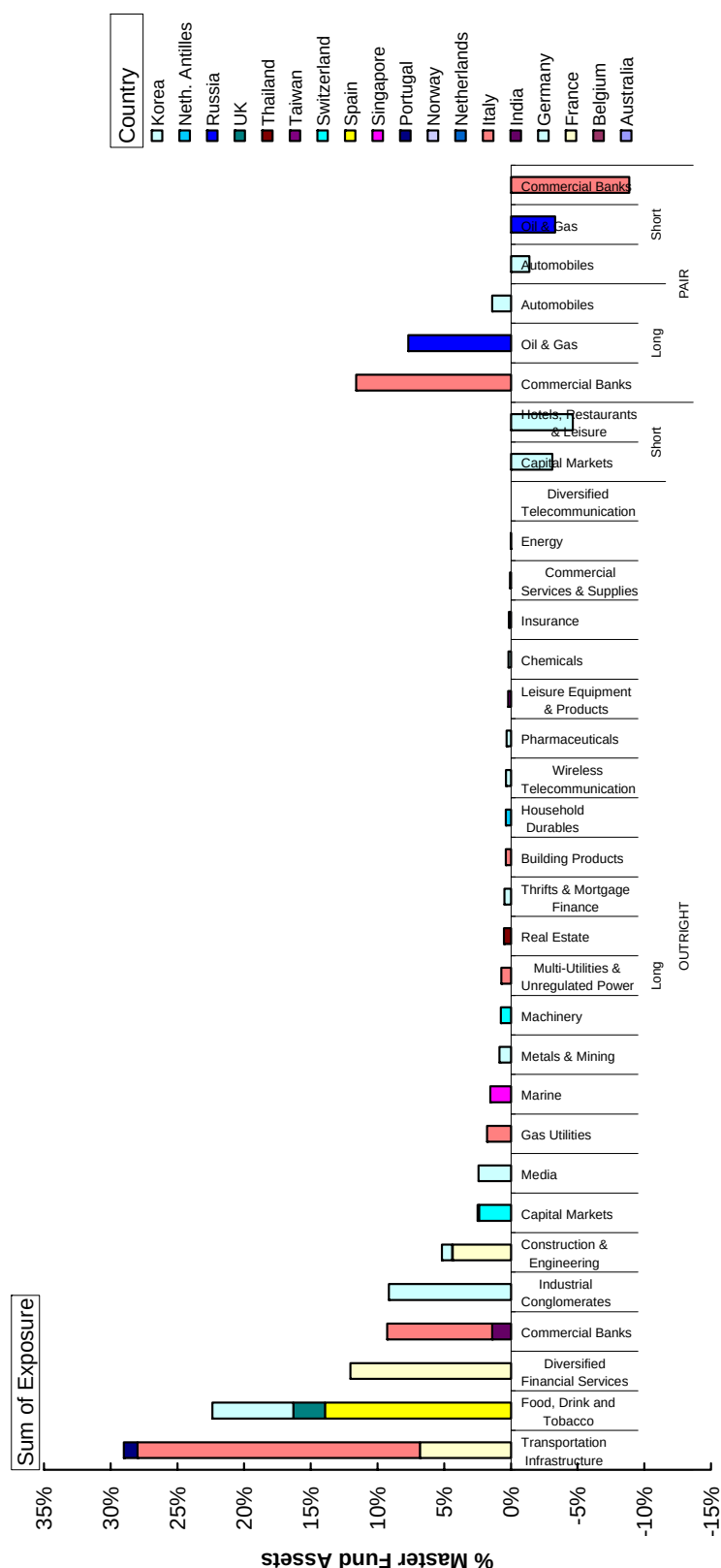
Appendix 2

Sum of Exposure		Country																	Grand Total
Subsector	Sector	Australia	Belgium	France	Germany	India	Italy	Netherlands	Norway	Poland	Singapore	Spain	Switzerland	Taiwan	Thailand	UK	Russia	Korea	Grand Total
OUTRIGHT	Long																		
	Short																		
	Long/Short																		
	Sector																		
	Transportation/Infrastructure																		
	Food/Drink and Tobacco																		
	Diversified Financial Services																		
	Commercial Banks																		
	Industrial Conglomerates																		
	Construction & Engineering																		
	Capital Markets																		
	Media																		
	Gas Utilities																		
	Marine																		
	Metals & Mining																		
Machinery																			
Multi-Utilities & Unregulated Power																			
Real Estate																			
Thrills & Mortgage Finance																			
Building Products																			
Household Dummies																			
Wireless: Telecommunication Services																			
Pharmaceuticals																			
Leisure Equipments/Products																			
Chemicals																			
Insurance																			
Commercial Services & Supplies																			
Energy																			
Diversified Telecommunication Services																			
Long Total																			
Short																			
Short Total																			
OUTRIGHT Total PAIR	Long																		
	Short																		
	Long/Short																		
	Sector																		
	Commercial Banks																		
	Oil & Gas																		
	Automobiles																		
	Long Total																		
	Short																		
	Long/Short																		
	Sector																		
	Oil & Gas																		
	Commercial Banks																		
	Short Total																		
	PAIR Total																		
Grand Total																			

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Appendix 3

TCI Master Fund June 2004 Sector and Country Exposures



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Appendix 4

Key Terms of TCI Focus Fund

- Capital commitments made which can be drawn upon opportunistically. If no suitable ideas are found then the fund will stay dormant until the end of the commitment period.
- Highly concentrated and undiversified portfolio (often only a single position) in which TCI Master Fund already has full weighting (based on risk parameters rather than necessarily the 20% of NAV limit).
- Lack of diversification of the Fund adds substantially to the risk of the fund and so makes it suitable only for certain large risk tolerant investors
- Positions only closed once TCI Master Fund has itself closed the same position.
- 0.5% annual management fee.
- 15% incentive fee, at end of each 3 year period from the inception date of the fund or upon redemption of all capital, whichever is earlier. The purpose of this is to make more likely that any performance fees are paid from realised gains and not unrealised gains.
- Minimum capital commitment \$20 million, maximum investment in a single position of \$10 million unless this single position limit is specifically waived by the investor in writing.
- Directors will recommend investors early redemption if excess cash is held beyond the short term.
- Three year capital commitments. Investments which are made following the first draw down of capital are locked up for the remainder of the three year period. eg Investor commits \$20m of which \$5m is drawn after 9 months for a single investment. \$15m is committed to the fund for a further 27 months.
- Lockup automatically rolls for further 3 years.
- Series based accounting links investors to investments in order to avoid any dilutive effect of new investors
- Manager itself expected to make charitable contributions (unlike TCI Master Fund where the Fund makes them).
- Cayman domiciled, USD denominated, USD and EUR offshore and USD onshore feeders, New and Non New Issue classes.
- Investors are asked to review the TCI Focus Fund offering memorandum and risk disclosures therein before considering further an investment into the Fund.

Disclaimer

The lack of diversification of TCI Focus Fund is a substantial source of risk, including the risk of substantial capital losses. Consequently, this fund is only suitable for sophisticated investors who are able to appraise themselves of the risks therein. An inexhaustive list of certain risk factors is found in the Offering Memorandum which potential investors are strongly urged to review before considering any investment.

Appendix 5

The Children's Investment Fund Foundation

Overview

The Children's Investment Fund Foundation was incorporated in both the US and the UK in the spring/summer of 2002 with a remit to fund programs that support children in poverty in developing countries. The mission of The Children's Investment Fund Foundation is to: *improve the lives of children living in poverty in developing countries through strategies that will have lasting impact on their lives and on the community, and that will influence others.*

To accomplish this mission, CIFF strives to:

- Support the development of local capacity;
- Support interventions that are sustainable; and
- Support interventions likely to be replicated if implemented successfully.

The formal affiliation between The Children's Investment Fund (TCI Fund) and the Children's Investment Fund Foundation (CIFF) took root this January. Since that time, the Fund has supplemented the Foundation's initial \$9 million of assets with an additional contribution of approximately \$1.6 million via TCI's committed half percent of assets pa.

CIFF Approach to Funding

The Children's Investment Fund Foundation is working toward establishing portfolios in the following areas:

- Children orphaned or made vulnerable by HIV/AIDS
- Microfinance
- Sexual Abuse
- Education

To ensure we develop a portfolio of projects that strategically reflects the values set forth in our mission, CIFF incorporates the following operating principles into its grant making approach:

- Conduct assessments to assure that the foundation is addressing areas of high relevance and meeting the needs of children in resource poor countries;
- Identify the service gaps within the areas we are funding and aim to address these;
- Fund existing programs that have demonstrated success and capacity opportunities to expand the scope and scale of their work;
- Explicitly identify ways to leverage these contributions; and
- Provide high quality, external evaluation and assessment to progress understanding and dialogue about the issue/intervention.

A CIFF Trustee visits all projects to which we are considering providing substantial funding.

To date, the Foundation has primarily funded in the area of HIV/AIDS and we anticipate that, given the staggering numbers of children that are and will be affected by the disease,

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this will continue to be our priority area of funding for the foreseeable future. In the area of HIV/AIDS we have limited our giving geographically to four countries in Africa—Uganda, Kenya, Malawi and Ethiopia—and India.

Grants to date

In 2003, the Foundation committed almost \$400,000 in grants to 10 organizations. The majority of these were smaller, one year commitments that were intended to test the desirability of making larger, multi-year grants. To date, the Foundation has awarded 11 grants totalling more than \$500,000; we are currently reviewing several large multi-year proposals for payment in 2004.

The following table provides a list of all grants paid to date:

Grants Paid Through June 2004		
Organization	Grant to Support	Grant Amount
AED: Speak for the Child, Kisumu, Kenya	Direct support: mosquito nets, medicine, food	\$ 10,000
AED: Speak for the Child, Kisumu, Kenya (2004)	Expansion of Speak for the Child Program	\$ 136,000
Campaign for a Clean Ganga	Clean water campaign along the Ganga	\$ 5,000
FXB, India	ARV program in India	\$ 20,000
Hope for Homes, Romania	To support training	\$ 5,000
Mpoma Community HIV/AIDS Initiative and Johnson Nkosi Primary School Project, Uganda	Capital improvements/construction for classroom, pit latrines, office and storage hut	\$ 9,000
MSF, Homa Bay from UK Foundation	Homa Bay HAART program	\$ 50,000
Save the Children US, Malawi Agricultural Support Project	Agricultural inputs project	\$ 240,000
TASO, Uganda	Child care facility at Entebbe site	\$ 20,000
UWESO, Uganda	Children's programs	\$ 20,000
Total Grants Paid to Date		\$ 540,000

To date in 2004, the Board has approved two very exciting multi-year proposals. A summary of these follows:

Speak for the Child, Kisumu, Kenya

This project aims to provide young orphaned and vulnerable children in this highly HIV/AIDS impacted community with psychological and physical security by ensuring that they are enrolled and attending pre-school, receive appropriate nutrition and health care and support caregivers with the ability to emotionally support the children and, as appropriate, help them to understand what is happening to their family. The project operates through trained volunteers who make weekly home visits. When we visited this project in western Kenya last fall, it was providing care for approximately 250 children

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under the age of 5. At that time we gave an initial \$10,000 grant to address some immediate direct needs of the children such as mosquito nets, medicine and food, and encouraged the organization to develop a proposal to either or both extend their services to children five and above and to reach more households.

We have just completed the contracting process for Speak to the Child that will now, working in collaboration with other local community based organizations, recruit and train volunteers and reach over 7,000 children between the ages of 0-10 over the next three years. We have committed funding approximately \$1.15 million toward this project through 2007 (\$100 per child per year).

Tamil Nadu ARV project

Perhaps the biggest contribution we can make for children affected by HIV/AIDS is to prevent their becoming orphans for as long as possible. This is particularly relevant in India where the epidemic is still in the relatively early stages and the outcomes for orphaned children are particularly harsh—the vast majority will end up in state institutions or on the streets.

In collaboration with the leading state agency responsible for tackling the AIDS problem (TANSACS) in Tamil Nadu, the Indian State most heavily impacted by AIDS, we will soon begin providing antiretroviral medications through community based organizations to whoever requires them in 500 families. We are also funding Columbia University to recruit and manage a locally based doctor to serve as a Technical Advisor, helping the community organizations establish medical protocols for treating the disease and provide necessary complementary services such as nutritional and prevention counselling and support the State develop a drug procurement and distribution system. TANSACS has committed that if the project is a success in terms improving the quality of life of children and their families, improving the economic well-being of the families, improving health status of those on antiretrovirals and establishing workable health structures that they will provide funding to replicate the project statewide and provide universal access to ARVs. After a competitive tender, we have selected Yale School of Public Health to conduct the evaluation. The project will formally launch the first week of August.

We are currently reviewing and working with organizations to refine a number of proposals. We anticipate that the Board will shortly review applications to:

- Introduce a child-focused component into TASO, Africa's largest indigenous AIDS care and support program which currently serves over 40,000 clients in 8 centers in Uganda.
- Provide food security to orphans and vulnerable households through sustainable agriculture and livestock initiatives in communities in Malawi and Kenya.
- Replicate an education model in Uganda targeted toward HIV/AIDS orphans.

We also anticipate, after establishing clear funding guidelines in this area at our May Board meeting, reviewing our first microfinance proposals.

Measuring our impact

Issued on behalf of The Children's Investment Master Fund by The Children's Investment Fund Management (UK) LLP. This report is prepared from sources we believe to be reliable. Some figures are estimates only and should be treated as such. The value of investments may go up or down and you may not get back your original investment. Past performance is not necessarily a guide to future performance. The strategy employed may result in the NAV exhibiting a high level of volatility and so is suitable for professional investors only. The Children's Investment Fund Management (UK) LLP is regulated and authorized by the FSA

For each proposal that we fund, we require clear measurable outcomes. Depending on the size of the grant and internal capacity of the organization, we either or both require regular reports documenting explicit, agreed upon indicators of success and financial reporting and use external evaluators.

Governance & Staffing

The Foundation's funding strategy and ultimate accountability in terms of project funding and organizational operations is governed by our Board of Trustees. Jamie Cooper-Hohn is President of the Foundation.

For each portfolio we fund, we establish an Advisory Board of experts who guide our strategy and funding within their area and make recommendations to the Board. These Advisors and Trustees engage in extensive phone conferences at least three times annually to deliberate on and make policy and granting recommendations. Individual Advisors are also regularly called upon to on programs to visit, to comment on organizations and to guide us on the political landscape.

The Advisory Board for HIV/AIDS includes:

- Mark Connolly, Children Protection Adviser for Orphans and Vulnerable Children at UNICEF
- Dr. Bitra George, Associate Director for Family Health International, India
- Noerine Kaleeba, Adviser at UNAIDS and Founder of TASO

In addition our Board Member, Peter McDermott, Chief of HIV/AIDS at UNICEF, and most recently head of the Africa division at USAID, plays a particularly active role in this area.

Jamie Cooper-Hohn directs the Foundation and works on a pro-bono basis. CIFF Trustee Phyllis Costanza also serves as a paid consultant working closely with Jamie, with particular emphasis on contracting with grantees, overseeing project evaluations, planning country visits and assuring compliance.

We are currently interviewing to hire our first full time staff person to be based in Africa and believe that we have identified an outstanding candidate. This Africa Country Programs Advisor will be charged with developing and implementing a systematic approach to identifying potential grantees in the area of HIV/AIDS.

We have also been exceptionally fortunate to have a handful of very talented professionals donate time to provide discrete research for us in a variety of areas.

Please note we are very pleased to share the research documents upon which we have relied to develop our strategy in the various areas we are funding, trip/site visit reports, copies of funded project proposals, CIFF bylaws, financial statements, etc. upon request. We also hope to have an operational web site by the end of the summer. For further information please contact jamie@cooperhohn.com

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